

10:00 a.m. Calendar

MATTER OF THE LORA J. OSTROM TRUST

25PR8868

**PETITIONER'S MOTION FOR ATTORNEY'S FEES AND
COSTS/TRUSTEE'S MOTION TO STRIKE OR IN THE
ALTERNATIVE TAX COSTS**

This is a probate matter brought by the Wendy Peeples aka Wendy J. Ostrom ("Petitioner") for Instructions for Trustee Distribution and For Accounting and Compelling the Redress of Breach of Trust against the Successor Trustee Dawn J. Ostrom ("Trustee").

Now before the Court is a motion for attorney's fees and costs brought by Petitioner. Simultaneously, there is a motion to strike or tax costs brought by Trustee.

Both motions are opposed.

The petition that initiated this action was filed on March 17, 2025. On June 6, 2025, the Court held the hearing on the petition. Trustee was present but her counsel was not. During the hearing, the Court noted that Ostrom did not know where her attorney was and further that her counsel, Ms. Shafer, had a history of missed appearances. The Court further noted that Ms. Shafer had failed to file any written objections. Thereafter, the Court entered an Order granting the petition, removing Trustee from her fiduciary duties, and charging costs and fees to Trustee. Attorney Shafer was served with the Order by mail and e-mail on June 13, 2025. New counsel has subsequently substituted as attorney of record for Trustee.)

On August 29, 2025, the Court denied Objector's motion for relief from default and motion for a new trial. (These rulings are on appeal.)

The June 13, 2025, Order provided that Objector was to: 1) pay the Attorney's Fees and Costs incurred by Petitioner as a result of having to prepare and file this Petition, and 2) to be surcharged in a sum equal to the Attorney's Fees and Costs incurred by Petitioner.

Petitioner now moves for \$17,362.00 in attorney's fees and \$954.02 in costs. In addition to opposing the motion, Objector also moves to tax certain costs and fees.

I. Legal Standard

Generally, the “prevailing party” is entitled as a matter of right to recover costs for suit in any action or proceeding. (CCP § 1032(b).) The losing party may dispute any or all of the items in the prevailing party’s memorandum of costs by a motion to strike or tax costs. (CRC, Rule 3.1700(b).) A motion to strike challenges the entire costs bill whereas a motion to tax challenges particular items or amounts. Verification of the memorandum of costs by the prevailing party’s attorney establishes a prima facie showing that the claimed costs are proper. (*Jones v. Dumrichob* (1998) 63 Cal.App.4th 1258, 1267.) To overcome that prima facie showing, the objecting party must introduce evidence to support its claim that the claimed costs were not reasonably necessary to carry out the litigation. (*Rappenecker v. Sea-Land Service, Inc.* (1979) 93 Cal.App.3d 256, 266.)

In situations other than those specifically addressed by section 1032, the trial court has discretion to determine whether there is a prevailing party and to allow costs or not. (Code Civ. Proc., § 1032(a)(4).)

II. Legal Analysis

Code of Civil Procedure section 1032(a)(4) defines a prevailing party as:

[T]he party with a net monetary recovery, a defendant in whose favor a dismissal is entered, a defendant where neither plaintiff nor defendant obtains any relief, and a defendant as against those plaintiffs who do not recover any relief against the defendant.

Petitioner is the prevailing party because she has obtained relief pursuant to the Petition. Having determined that Petitioner is the “prevailing party” for purposes of the request for costs, the Court now must consider Trustee’s alternative motion to reduce certain costs and fees.

The probate court has broad equitable powers over the trusts within its jurisdiction. (*Hollaway v. Edwards* (1998) 68 Cal.App.4th 94, 99.)

A. Timeliness of the Motion

Trustee first argues that the motion for fees and costs should be denied because it is untimely pursuant to California Rules of Court, rule 3.1700(a).¹ Pursuant to this Rule of Court, a prevailing party who claims costs must serve and file a memorandum of costs within 15 days after the date of service of the notice of entry of judgment or dismissal by the clerk under Code of Civil Procedure section 664.5 or the date of service of written notice of entry of judgment or dismissal, or within 180 days after entry of judgment, whichever is first. Objector argues that the Petitioner should therefore have filed her motion on or before July 10, 2025, (fifteen days after notice of June 13, 2025 Order). Alternatively, Objector argues that the motion should have been filed on or before October 8, 2025, (fifteen days after entry of order denying Objector's motions for new trial/relief from default).

Code of Civil Procedure section 664.5(c), defines "judgment" to include "any judgment, decree, or signed order from which an appeal lies." (Code Civ. Proc., § 664.5(c).) The Court entered two separate orders from which Objector has appealed: the June 13, 2025 Order essentially entering default and the September 18, 2025 Order denying Objectors motion for post-judgment relief.

The Court exercises its discretion to extend the time for filing a motion for costs by thirty days. (CRC 3.1700(b)(3).) The Court concludes that the Petitioner therefore timely filed the motion after the September 18, 2025, Order.

Plaintiff's Costs

Plaintiff seeks the following costs:

• Filing Fees and CMCs	\$575.03
• Electronic filing or service	\$175.00
• Other	<u>\$221.58</u>
Total:	\$954.02

¹ The filing of a notice of appeal does not stay any proceedings to determine the matter of costs and does not prevent the trial court from determining a proper award of attorney fees claimed as costs. (*Korchemny v. Piterman* (2021) 68 Cal.App.5th 1032, 1052.)

Objector objects that these fees are unsubstantiated. “If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary.” (*Ladas v. California State Auto Assn.* (1993) 19 Cal.App.4th 761, 774.) Objector has not demonstrated how basic filing fees and allowable costs were unreasonable or unnecessary.

Accordingly, Plaintiff is entitled to collect the entire \$954.02 in costs.

Attorney’s Fees

Petitioner seeks attorney’s fees pursuant the June 13, 2025, Order in which the Court granted the reasonable attorney’s fees incurred “as a result of having to prepare and file this Petition.”

A Court generally awards attorney’s fees pursuant to the lodestar method. Under this approach, a base amount is calculated from a compilation of time reasonably spent and reasonable hourly compensation of each attorney and may be adjusted in light of various factors. (*Horsford v. Board of Trustees of California State University* (2005) 132 Cal.App.4th 359, 394-395.) The attorney’s fees must be reasonable and the court has broad discretion to determine the amount of a reasonable fee. (*Syers Properties III, Inc. v. Rankin*, (2014), 226 Cal.App.4th 691, 703.)

Petitioner requests \$17,362.00 in attorney’s and administrative fees for 39.3 hours of work. Petitioner asserts she is entitled to fees for the following:

- 3.2 Hours - Case intake, investigation, client communications, pre-petition demands
- 6.6 Hours -- Petition drafting, filing, service
- 1.5 Hours – June 6, 2025, hearing
- 8.1 Hours – Responses to Objector’s post-judgment motions
- 10.2 Hours – Appeal and enforcement of judgment
- 0.8 Hours – “administrative work”
- 4.5 Hours – fees motion
- 5.2 Hours – Anticipated reply ISO motion

Trustee objects that many of the hours billed go outside the Court’s order regarding fees because these hours are unrelated to the subject petition itself. Specifically, Trustee takes issue with all pre-petition consultation, the amount of time spent at the June 6th hearing, the time spent replying to the Trustee’s motions, and all appellate work. Trustee

argues that the appropriate amount of compensable hours is 11.3 hours. Trustee does not take issue with the hourly rate.

The Court concludes that the pre-petition work was necessarily related to “preparing and filing” the Petition. The time spent at the June 6, 2025, hearing was also reasonable and related to “preparing and filing” the Petition. However, the hours billed in opposing Trustee’s post-judgment motions and any appellate work are not reasonably related to “preparing and filing” the Petition. Neither does the Court find the 0.8 hours in “administrative time” compensable because it is unclear what this work encompassed. The Court also finds the Petitioner’s hourly rate of \$440 is not in keeping with rates in for similar work in this jurisdiction and reduces the hourly rate to \$300, the usual and customary hourly rate in this market.

Accordingly, the Court awards attorney’s fees in the amount of \$3,390.00 (\$300 x 11.3 hours.)

The Court also orders that Trustee be surcharged in an amount equal to the allowed attorney’s fees and costs.

III. Conclusion

The Court **GRANTS** the motion for attorney’s fees and costs **in part**. The Court **GRANTS** the motion to tax **in part**.

The Court **GRANTS** Plaintiff’s request for **costs** in the amount of **\$954.02** and **attorney’s fees** in the amount of **\$3,390.00 (Total: \$4,344.02)**. The Court further awards a surcharge in an equal amount if the award is paid from Trust funds. **Petitioner is therefore awarded a total of \$8,688.04 IF the award is paid from Trust funds.**

The clerk shall provide notice of this ruling to the parties forthwith. Petitioner to submit a formal Order complying with Rule 3.1312 in conformity with this Ruling.